

2021 FINANCIAL REGULATIONS REVENUE REPORT

CONSTITUTIONAL AGENCIES

1. INTRODUCTION

This report aims to provide a summary of revenue collecting agencies within the Constitutional Agencies of the Government in 2021.

Together the Constitutional Agencies are budgeted to collect **VT 11,604.5 million** in the form of fees and charges. This represents **34.7 percent** of 2021 total budgeted Government revenue.

The State Law Office (SLO) and the Citizenship Office are planned to collect **99.6 percent** of the Constitutional Agencies' revenue budget through the Honorary Citizenship Program fees. It is to be noted that majority of the Constitutional Agencies are not revenue generating institutions but mostly operate a user charge fee or a basic fee for services provided to clients.

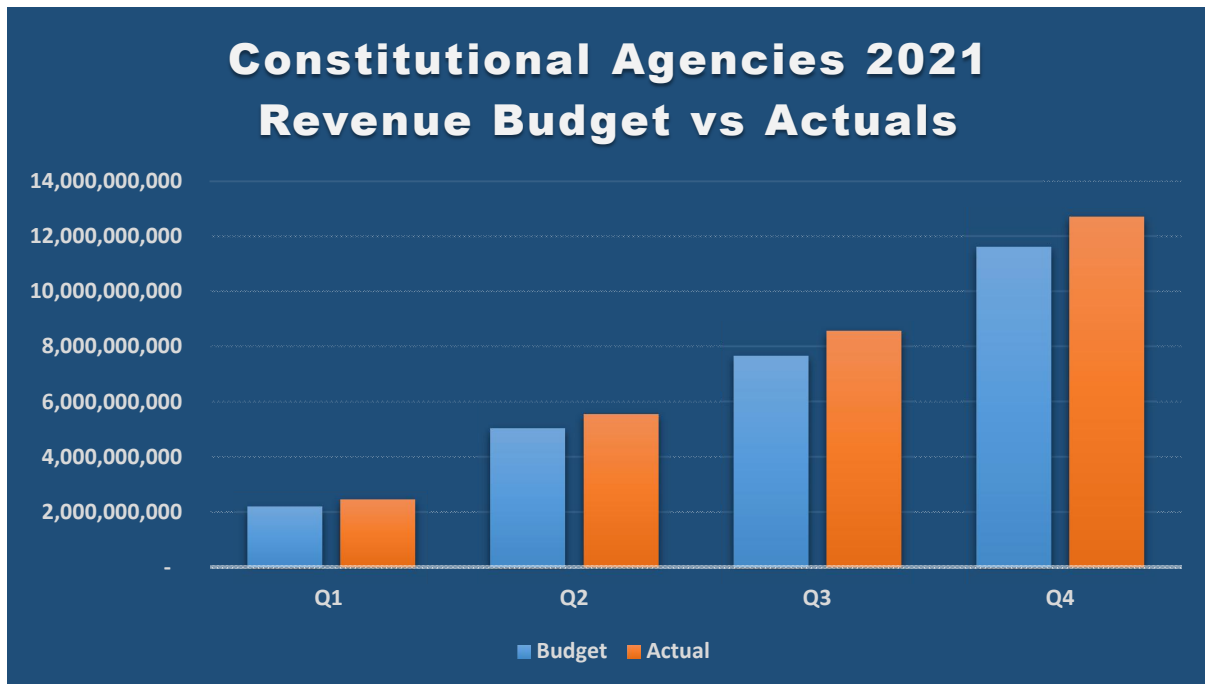
Table 1.1. Constitutional Agencies who are Revenue Collecting Agencies:

Constitutional Agency	Total Constitutional Agencies % Share of Revenue
Citizenship Office	97.2%
State Law Office	2.4%
Judiciary	0.22%
Public Service Commission	0.2%
Parliament	0.02%
Public Solicitor	0.01%

2. 2021 REVENUE UPDATE

Graph 2.1 below shows cumulative Constitutional Agencies' revenue budget for each progressive quarter against the actual revenue collected.

Graph 2.1. Constitutional Agencies' Cumulative Quarterly Revenue Budget vs. Actual



At the end of 2021, the Constitutional Agencies collected a total revenue of **VT 12,709.8 million**, which is **9.5 %** more than its revenue budget target. The Citizenship Office collected **93% percent** of total collection. The State Law Office (SLO) and the Public Service Commission (PSC) also contribute to the strong revenue collection.

OVERVIEW OF 2020 & 2021 REVENUE TREND

Fig 2.2. Constitutional Agencies 2020 Revenue Budget vs. Actual Collection

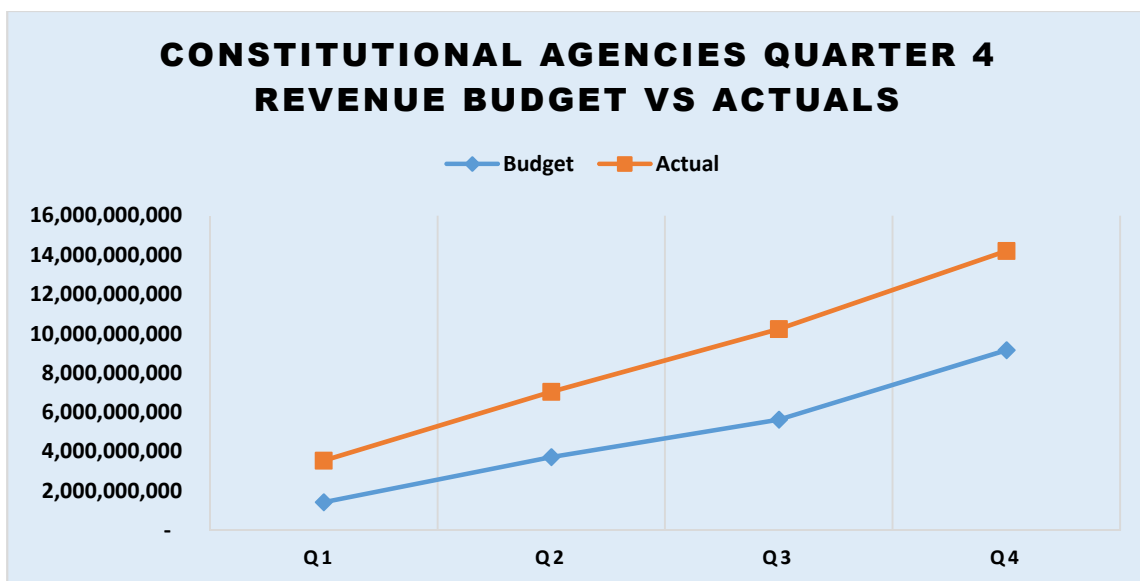


Fig 2.3. Constitutional Agencies 2021 Revenue Budget vs. Actual Collection

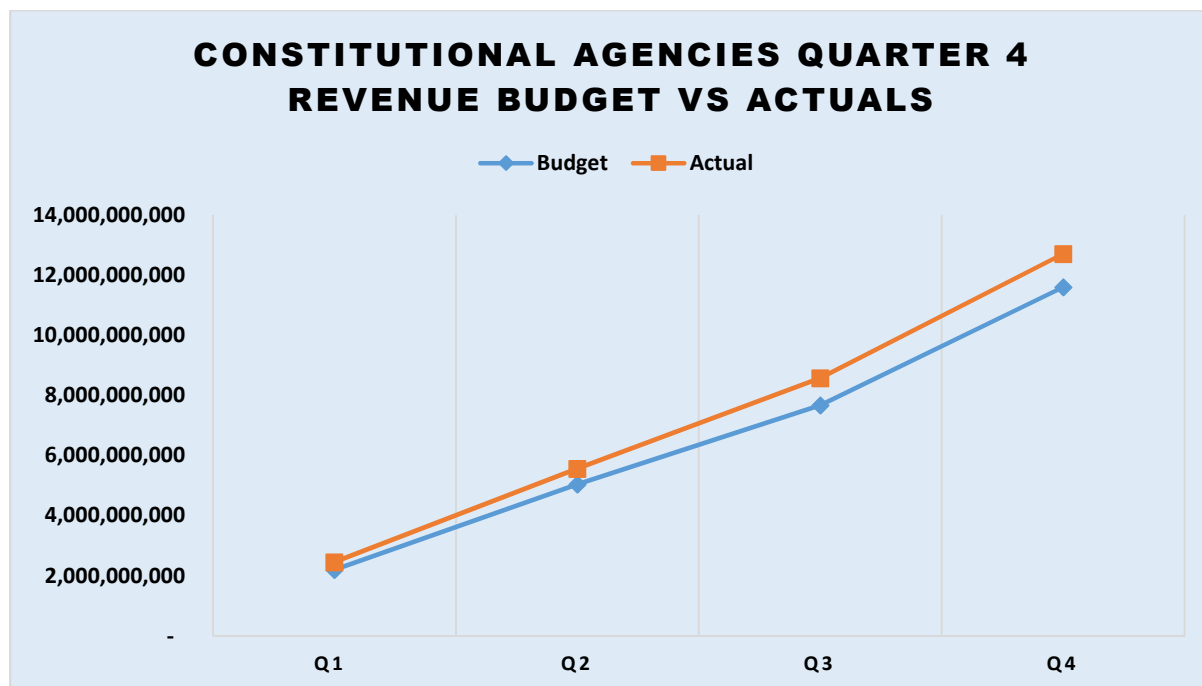


Fig 2.2 and Fig 2.3 above show a comparison between the budget and actual revenue collection within the Constitutional Agencies in 2020 and 2021.

In the 2020 financial year, the Constitutional Agencies collected a total revenue of **VT 14,218.7 million** whereas in 2021 the actual revenue collection was at **VT 12,709.8 million**, **VT 1,508.9 million** less than the previous year. The slowdown has been expected given the slowdown in the economy as a result of the COVID-19 pandemic.

3. GENERAL DISCUSSIONS - REVENUE COLLECTION BY CONSTITUTIONAL AGENCIES

Annex 1 of this report provides an overview of the specific revenue collected within the Constitutional Agencies in 2021.

Revenue Collections by individual Agencies are presented in Table 3.1

Table 3.1 Brief Summary – 2021 Revenue Budget vs. Actuals

	2021 Annual Revenue Budget	2021 Actuals	Variance
Citizenship Office	11,276,675,457	11,854,691,161	578,015,704
Judiciary	25,920,000	25,566,985	(353,015)
Parliament	1,000,000		(1,000,000)
Public Service Commission	21,000,000	29,460,375	8,460,375
Public Solicitor	900,000	1,116,577	216,577
State Law Office	279,050,000	796,654,586	
Public Prosecutor		2,322,000	2,322,000
Total	11,604,545,457	12,709,811,684	1,105,266,227

3.1.Citizenship Office

The Citizenship Office currently runs the Vanuatu Citizenship by Investment (CBI) program. CBI programs “help create significant sovereign and societal value through transferring assets from wealthy individuals to developing countries”, supporting fiscal independence and address growing imbalances and inequalities inherent to traditional sovereign debt financing. Vanuatu is one of at least 13 countries globally offering CBI programs and one of more than 60 countries offering Immigration Investment.¹

Vanuatu’s CBI program is offered through its Vanuatu Development Support Program (VDSP) and Vanuatu Contribution Program (VCP) which alone has been budgeted to collect **30.6 percent** of the 2021 National Revenue Budget.

Citizenship Office revenue collected from the CBI program, recorded as Honorary Citizenship Program Fees, has been forecasted to collect **VT 11,604.5 million** in 2021. Actual collections collected by the Citizenship Office (this excludes fees from the program collected by other agencies like SLO, the Civil Registry and Immigration Office) however, recorded an amount of **VT 12,709.8 million** at year end. Despite the COVID-19 crisis, and policy related issues relating to the implementation of the CBI program, it is still operating and receiving applications electronically, thus the strong collection.

3.2.State Law Office

The principle function of the State Law Office (SLO) is to provide legal advice to the Government and to represent the Government in Court. In addition, the Office provides legislative drafting services and provides policy advice to the Government as a result of litigation. The agency, through the Financial Intelligence Unit (FIU) also carries out the financial intelligence services for the Government under the Anti-Money Laundering &

¹ Human Capacity Development International, Comprehensive Review of the Vanuatu Citizenship by Investment Program submitted to Vanuatu Citizenship Commission and Office, January 2020

Counter Terrorism Financing Act No. 13 of 2014 ("AML&CTF Act")]. The FIU generates more than **90 per cent** of the revenue recorded under this Constitutional Body.

At the end of 2021, the overall State Law Office revenue collection recorded an amount of **VT 796.7 million**, exceeding its annual revenue budget target by **185% percent**.

The FIU collected Due Diligence fees which followed a similar trend to the revenue collected from the Citizenship program. The Due Diligence fee is the major revenue item under the State Law (SLO) office.

3.3.Public Solicitor

The revenue collected under the Public Solicitors office is related to the user charge fees imposed for the service provided. The office collected **24.1% percent** more than its budget target this year. The collection recorded as Other Fees is from services provided for new mortgage and advice fees as well as new client fees.

3.4.Judiciary

The biggest share of revenue collected from Judiciary is related to court fines imposed by this Constitutional Body. The Supreme Court usually records the highest share of Court Fines as revenue, followed by the Magistrate Courts and then the Island Courts. Usually, fines must be settled before a service is provided by Judiciary. The Judiciary's 2021 revenue collection was **98.6% percent** of its budget target.

3.5.Public Service Commission

The Public Service Commission (PSC) recorded a revenue collection of **VT 29.5 million** in the 2021 financial year. The actual revenue collection is **40.3% percent** more than budget indicating Government house rental compliance. Government House Recoveries are rentals collected from Government Housing properties and its collections make up **97.0 percent** of PSC's collections this quarter.

3.6. Public Prosecutor.

The office of the Public Prosecutor has recorded an actual revenue collection of **VT 2.3 million** in 2021 financial year. Most of the revenue collection is through court fine fees.

4. OVERALL PERSPECTIVE ON 2020 REVENUE PERFORMANCE

On the overall outlook, the revenue collecting items within the Constitutional Agencies are on target. The major revenue collecting agencies, the Citizenship Office and the State Law Office through the Financial Intelligence Unit (FIU) have performed exceptionally well. Despite the pandemic and other policy issues relating to the implementation of the CBI program, the implementing agencies have performed well.

ANNEX

Department	2021 Revenue Budget	2021 Actual Revenue	Variance
Citizenship Office	11,276,675,457	11,854,691,161	578,015,704
Honorary Citizenship Program Fees	-	21,110	21,110
Honorary Citizenship Program Fees (VERP)	-		-
Honorary Citizenship Program Fees	11,249,355,658	11,852,673,367	603,317,709
Other Fees	25,400,000	608,142	-24,791,858
Application Charges Recoveries	1,919,799	1,388,542	-531,257
Judiciary	25,920,000	25,566,985	-353,015
Equipment Disposals			-
Furniture & Fittings Disposal			-
Other Asset Disposals			-
Other Fees			-
Other Fines			-
Court Costs Recoveries	25,327,000	18,920,185	-6,406,815
Court Fines	593,000	6,646,800	6,053,800
Parliament	1,000,000		-1,000,000
Other Recoveries			-
Rents & Leases Recoveries	1,000,000		-1,000,000
France Contributions			-
Public Service Commission	21,000,000	29,460,375	8,460,375
Miscellaneous Charges	-	13,000	13,000
Vehicles Disposals	500,000	240,000	-260,000
Government Houses Recoveries	18,000,000	29,199,397	11,199,397
Vehicle Hire	500,000	-	-500,000
Rents & Leases Recoveries	-		-

Valuations Recoveries	2,000,000	7,978	- 1,992,022
Vanuatu Government Contributions	-		-
Public Solicitor	900,000	1,116,577	216,577
Court Costs Recoveries	900,000		- 900,000
Other Recoveries		1,116,577	1,116,577
Public Prosecutor	-	2,322,000	2,322,000
Court Costs Recoveries	-	2,322,000	2,322,000
State Law Office	279,050,000	796,654,586	517,604,586
Honorary Citizenship Program Fees	275,000,000	768,723,071	493,723,071
Other Fines	1,000,000	26,000,000	25,000,000
Court Costs Recoveries	1,000,000	55,000	- 945,000
Publications Revenue	2,050,000	1,876,515	- 173,485
Total	11,604,545,457	12,709,811,684	1,105,266,227